WAVERLEY GATEWAY GUIDE

Connecting International Capital

LATVIA

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Riga	Capital and largest economy, home to 20 of the 31 projects LIAA supported in 2025; seat of government, Latvijas Banka and most international firms	Business services, IT, finance, logistics
Freeport of Riga	Free port where Ukraine's Pars Terminal is building a €120 million renewable fuel plant, offering tax relief to qualifying companies	Port logistics, renewable fuels, manufacturing
Riga Central Station and the Rail Baltica corridor	Main construction of the new Riga Central Station is finished, with passenger opening planned for mid-2028 as part of the Rail Baltica network	Rail construction, engineering, property development
Liepāja Special Economic Zone (Kurzeme)	Western port city with a special economic zone offering corporate and property tax relief, extended to 2035	Manufacturing, port logistics, industrial services
Ventspils Free Port	Deep-water Baltic port with free-port tax incentives	Port logistics, transit, manufacturing
Rēzekne and Latgale special economic zones	Eastern region bordering Russia and Belarus, where special-economic-zone incentives support manufacturing and job creation	Manufacturing, processing industries, defence and dual-use production

INVESTOR ENTRY ROUTES

- The Investment and Development Agency of Latvia (LIAA), through Invest in Latvia, supports foreign investors and helped attract a record €1.01 billion across 31 projects in 2025
- A corporate income tax of 20% charged only on distributed profits, with reinvested profits taxed at 0%
- Free ports at Riga and Ventspils and special economic zones at Liepāja, Rēzekne and Latgale offering corporate income tax and property tax rebates, expected to remain in place until 2035
- Euro-area membership: the euro is the national currency, with free capital movement under EU rules and monetary policy set by the European Central Bank
- EU single-market and Schengen membership, giving free movement of goods, services, capital and people and access to all EU trade agreements
- Defence spending of 4.9% of GDP in 2026 and a legal minimum of 5% from 2027, opening supply routes for defence and dual-use manufacturers

- Rail Baltica and other EU-co-financed infrastructure creating construction, engineering and logistics opportunities

MARKET-ENTRY OBSERVATION

Latvia in November 2026 offers investors euro-area and EU membership, a tax system that leaves reinvested profits untaxed and public debt well below the EU average. GDP grew 3.0% year-on-year in the second quarter of 2026, the strongest growth since early 2022, led by trade, manufacturing, finance and information and communication. Latvijas Banka forecasts growth of 2.0% in 2026, rising to 2.4% in 2027 and 3.0% in 2028, supported by defence, dual-use production, housing and large public investment. The investment agency LIAA attracted a record €1.01 billion of foreign investment across 31 projects in 2025, led by bioeconomy and smart-energy projects, and reports a pipeline of about 180 projects worth more than €17 billion. In the 3 October 2026 election, Prime Minister Andris Kulbergs' United List won 35.3% of the vote and 41 of 100 seats, giving centre-right parties the mandate to govern.

Latvia's main structural challenge is financing a large defence build-up while keeping public finances and costs under control. The general government deficit was 2.5% of GDP in 2025 and debt 46.9% of GDP, but defence spending of at least 5% of GDP from 2027 is pushing the deficit above 3%, and Latvijas Banka expects debt to rise to slightly above 50% of GDP. Inflation was 3.2% in September 2026, and labour costs are rising quickly. The starting position is sound: Fitch rates Latvia A- with a stable outlook, the Treasury plans to keep debt below 55% of GDP, and euro membership lowers funding costs. Defence, Rail Baltica and energy investment are creating sustained demand, and the stock of foreign direct investment, at €27 billion at the end of 2025, leaves considerable room for growth compared with Baltic neighbours.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Security environment on the eastern border	Latvia borders Russia and Belarus, faces hybrid pressures including migration and drone incursions, and EU sanctions on Russia and Belarus apply in full	NATO and EU membership provide collective security; take sanctions and export-control advice and include security planning for eastern sites
Rising deficit from defence spending	Defence spending of at least 5% of GDP from 2027 is expected to push the deficit above 3% of GDP	Low debt of 46.9% of GDP gives room for manoeuvre; monitor tax and spending measures in the 2027 budget
Political transition after the October 2026 election	A new government is being formed after the election, following a change of prime minister in May 2026	The United List's strong result provides a clear lead; track coalition priorities on taxes, energy and EU funds
Labour costs and availability	Wages are rising quickly and the labour market remains tight	Locate near Riga's talent pool or in special economic zones, partner with universities and automate where possible
Inflation and energy costs	Inflation of 3.2% and higher energy prices linked to the Middle East conflict raise input costs	Build energy and wage scenarios into plans; ECB monetary policy anchors price stability
Rail Baltica delays	The first phase of Rail Baltica will not be completed by 2030, and the new Riga Central Station opens to passengers in mid-2028	Plan logistics on existing road, rail and port links; position for staged contracts as funding is confirmed
Smaller FDI stock than neighbours	Foreign investment stock of €27 billion is below Estonia and Lithuania	Use LIAA's record pipeline and SEZ incentives, which reflect active efforts to close the gap

INVESTOR RISK NOTE

Latvia's risk profile is that of a stable EU, euro-area and NATO member with low public debt, a competitive tax regime that exempts reinvested profits and growing investor interest, reflected in record LIAA-supported investment in 2025. The economy grew 3.0% in the second quarter of 2026, and the October 2026 election gave the United List a clear lead in forming the next government. The main near-term issues are a deficit expected to

exceed 3% of GDP as defence spending rises to at least 5% of GDP, and rising labour costs; both are manageable given debt of 46.9% of GDP and an A- rating. Latvia borders Russia and Belarus, faces hybrid threats including drone incursions, and applies EU sanctions on both countries in full, so investors should take sanctions and export-control advice for any related business and include security planning for eastern locations. Outside these areas, Latvia offers the legal certainty of EU law and the convenience of the euro.

MARKET ACCESS

As a member of the EU, Latvia gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro membership removes exchange-rate costs with euro-area partners, and Schengen membership allows passport-free travel. Latvia's Baltic ports at Riga, Ventspils and Liepāja connect it by sea with the Nordic countries and Western Europe, and Rail Baltica will link the Baltic states to the European standard-gauge network. Nordic and Baltic investors are prominent, with Lithuania, Finland and Sweden among the leading sources of new projects in 2025, and the defence build-up across the region is creating demand for local supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
State Chancellery and Cabinet of Ministers (Prime Minister Andris Kulbergs)	Sets economic, fiscal and defence policy; Kulbergs has led the government since May 2026 and his United List won the October 2026 election	Primary reference point for Latvia's strategic direction and major projects
Investment and Development Agency of Latvia (LIAA)	National investment and export agency, operating Invest in Latvia and managing a pipeline of about 180 projects	Standard first point of contact for market entry and incentives
Latvijas Banka	Member of the Eurosystem whose governor sits on the ECB Governing Council; publishes the national economic forecast	Relevant for macroeconomic outlook, banking and payments
Ministry of Finance and the State Treasury	Lead the budget, tax policy and borrowing, with the aim of keeping debt below 55% of GDP	Key counterpart on tax, fiscal and public-finance matters
Ministry of Defence	Manages a defence budget of at least 5% of GDP from 2027	Counterpart for defence and dual-use suppliers
Rail Baltica implementing bodies	National bodies delivering the Latvian section of Rail Baltica, including the Riga Central Station hub	Counterparts for construction, engineering and rail-systems contracts
Free port and special economic zone authorities	Administer incentives at Riga, Ventspils, Liepāja, Rēzekne and Latgale	Partners for sites and tax relief

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Latvian Chamber of Commerce and Industry, national employers' organisations, foreign investors' associations and bilateral chambers of commerce are the main business networks, with regular dialogue with government. LIAA runs investor programmes, represents Latvia at international forums and manages a pipeline of about 180 projects, while the free port and special economic zone authorities work directly with incoming investors. EU funds and European development finance institutions are relevant co-financing partners for infrastructure, energy and defence-related projects. Embassies of major EU partners and the United States maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Latvia suits investors seeking a cost-competitive base inside the EU and the euro area where reinvested profits are untaxed: bioeconomy, wood-processing and renewable-fuel investors using ports and special economic zones; smart-energy and grid investors; business-services and IT companies drawing on Riga's talent pool; defence and

dual-use manufacturers serving a build-up to at least 5% of GDP; and construction and engineering firms targeting Rail Baltica. Investors with any links to Russia or Belarus should take sanctions advice before engagement.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage LIAA and assess incentives
Open dialogue with LIAA through Invest in Latvia to identify support, sites and introductions, and test eligibility for free-port or special economic zone relief.

STEP 2: Compare ports and special economic zones
Assess locations at Riga, Ventspils, Liepāja, Rēzekne and Latgale against logistics, labour and incentive needs.

STEP 3: Position for defence and infrastructure demand
Map supply opportunities in the defence build-up and in Rail Baltica's staged contracts, including EU-co-financed components.

STEP 4: Plan for fiscal and political developments
Track the new government's programme and the 2027 budget for tax and spending changes linked to defence.

STEP 5: Screen counterparts for sanctions exposure
Take sanctions and export-control advice for any counterparts or supply chains with links to Russia or Belarus.